



AMERICAN FORK CITY COUNCIL
FEBRUARY 22/23, 2024
BUDGET WORKSHOP MINUTES

Members Present:

Bradley J. Frost	Mayor
Staci Carroll	Council Member
Ryan Hunter	Council Member
Tim Holley	Council Member
Ernie John	Council Member
Clark Taylor	Council Member

Staff Present:

David Bunker	City Administrator
Camden Bird	Assistant City Administrator
Terilyn Lurker	City Recorder
Derric Rykert	Community Services Director
Patrick O'Brien	Development Services Director
Loralee Miller	Executive Assistant
Anna Montoya	Finance Director
Aaron Brems	Fire Chief
George Schade	IT Director
Cherylyn Egner	Legal Counsel
Cameron Paul	Police Chief
Sam Kelly	Public Works Director

The American Fork City Council met in a budget workshop on Thursday, February 22, 2024, at 4:30 p.m. and Friday, February 23, 2024, at 8:15 a.m. at Fox Hollow Golf Club, 1400 North 200 East.

February 22, 2024, at 4:30 p.m.

Mayor Frost welcomed everyone to the workshop and started with a prayer.

Mayor Frost explained their most important job is the budget, and at the workshop they will talk about the budget, projects that will take funding, and things that will use assets. He stated that approval of the budget would be a four-month process, and that as they set their budget, they need to be aware that any adjustments needed would require action by the city council.

David Bunker introduced the new Public Works Director, Sam Kelly. Those present introduced themselves to Mr. Kelly.

Mr. Bunker commented that this is an important meeting where the city council will come to a consensus on the direction and vision of the city and establishing the city budget based on the priorities they set at this workshop. He noted the city is required to have a balanced budget, which we do. As the council participates in this workshop, they need to be able to speak their mind and have fun. He thanked the council for their participation in the workshop, expressing gratitude to the staff for their time and effort in putting this together.

COMMUNITY SURVEY

Camden Bird explained the on-line community survey took place in December, where they had over 1,250 responses. Any residents who wanted to participate had the opportunity. The survey consisted of 13 questions, of which most of them are the same questions every year. For the most part, the residents are happy with the quality of life. Mr. Bird explained the age, location of the survey respondents, and the issues by demographic. The main issues of roads, taxes, and growth were important to most everyone. The younger demographic cares more about parks, trails, and fitness center while the middle age cared most about fiber. He noted the south side of town respondents care more about parks than other regions.

Mr. Bird continued with the reasons to live in American Fork by age. The younger people care more about recreation and schools and the middle care more about work. The older care more for family, safety, and community, but all the respondents care about those as well. The location is one of their greatest assets.

One survey question was how they wanted to get information from the city. The top area was the newsletter, followed by the website, AFNotify, social media, electronic sign, and posters. Staff were continually looking for ways to improve communication with the citizens. Mr. Camden included some of the top comments were better capital projects communication, better website navigation, improved city council transparency, and better follow up on issues. He pointed out there were about 3,000 people signed up for AFNotify.

The city measures the customer service and professionalism and quality of city services through the years of the questionnaire, which have stayed the same or increased.

FY 2024 STRATEGIC GOALS UPDATE

Mr. Bird gave an update on the FY 2024 Strategic Goals:

Growth Planning

- Fiber. The high-level design was complete with mid-level design 80% complete, ordering product has started and money has been allocated for starting the project. It is the hope to begin construction in the summer. Staff is continually working on marketing, noting there have been citizens who previously signed up that they are interested.
- General Plan. The General Plan is outdated and needs to be updated. This will then be used as a guiding document for future development and issues.

- Facilities Master Plan. Staff is preparing to put together a package to send out to bid for a master plan to incorporate the city's growth needs over the next 30 years. This would include a master plan for 30-acre property, property acquisition plan, and bonding timeline.
- Fees/Rate schedule update. This goal was mainly to update the impact fees and the other rates including secondary water metering rate. It is important that they get the impact fee study completed this summer. The city will need to communicate with the residents in advance of the rates being implemented, however, there are a few things that will need to be done prior to being able to do that.

Water Preservation

- Water Re-Use program. Staff has applied to the state for the water reuse permit. There are a few cities that will need to have a water right exchange with American Fork, so participating cities will need to sit down together to come to an agreement. Mr. Bunker explained how the system would work.

Organization

- Development Process. Staff has looked at the process and made significant changes to improve process and still follow state law. Staff is also are in the process for the city code re-write. One goal was in improve customer service, which has greatly improved with promoting a person to the project coordinator.

Economic Development

- Downtown Revitalization. This has been an ongoing process for several years, with the information constantly changing. The city needs to start somewhere, and there is a logical area identified for the starting point. The city has a unique opportunity and need to be proactive in this approach and establish what they are looking for. The plan will need to focus on bringing people back to the downtown area.

FY 2024 CIP STATUS UPDATE

Anna Montoya went over the capital improvement projects.

Public Safety

- Fire Station completed
- Police/courts roof replacement underway
- Portion of funding from state set aside for improvements

Community Services

- Boat Harbor bathroom and parking lot in design
- Pickleball Courts in Hindley Park
- Restrooms at Hindley Park, Art Dye, Greenwood parks pending water/sewer
- Basketball Court at Rotary Park
- Playground replacement at Miller, Centennial, and Greenwood parks

Roads

- Started 200 South - Phase 1 project soon to start, to be followed by Phase 2.
- Street Overlay – 800,000 square feet throughout the city
- Road Reconstruction – 300 North, 200 South, 200 East
- 700 North Connector – design complete, bids forthcoming
- Traffic signal at 620 South 600 East in progress
- Automall Drive design complete with bids in April 2024
- 1100 South Widening – design complete

Water/Irrigation

- 36” Waterline Segment 3 complete
- 18” Waterline Segment 4 to be completed in spring
- PI Meters – Phase I complete, Phase 2 80% complete, Phase 3 in construction
- Water rate study underway
- Transitioning to monthly reading

Storm/Sewer

- 1120 North bridge – precast over culver complete in Spring
- 900 East curb and gutter – in design
- Slip lining/bursting – pending design

Fiber

- Materials are being purchased
- High-level design complete
- Mid-level design underway

FY 2024 BUDGET STATUS UPDATE

Ms. Montoya then went over FY 2024 Budget update. The General Fund Revenues includes sales tax, property tax, other taxes, and building permits. The sales tax was flattening out after seeing double digit increases every year; they do not expect increases next year. Property tax did increase, with a big allotment in December and anticipated smaller allotments throughout the year. Overall, there has been an increase in revenue of 18.2%. The city receives most of the revenue from taxes, both property tax and sales tax. Staff carefully monitors the sales tax numbers.

Ms. Montoya showed the property tax rate history, and explained how property tax is calculated. The valuations dipped, but due to growth the city’s revenues increased.

Ms. Montoya went over the expenditures, with personnel being most of the expenses for the general fund and capital expenditures for all funds. Overall, expenditures have increased over the years. Personnel costs are up due to health care, staffing increases, merit increases and range

adjustments. Ms. Montoya went on to explain the debt service funds, noting when the existing bonds will retire.

With PARC Tax, the city has collected since 2015 \$10,522.37. The fund is expecting about \$1.2 million to be available to award this May. Ms. Montoya went over the Fitness Center fund, noting the expenditure costs. The capital projects fund includes \$500,000 of property tax dedicated to roads, the Class B/C road funds increased 9.4% over last year, sales tax revenues were up 1.3%, and the new 5th /5th sales and use tax is effective January 1, 2024. The largest capital projects are 90.8% of the general capital projects budget and include infrastructure management, fiber design and materials, 200 South, the 700 North connection road, and Boat Harbor Improvements. The culinary and pressurized revenues are up due to growth; the consumption revenue is down due to conservation. The city does have a rate study under way for pressurized irrigation usage. The sewer revenues are also up due to growth. There was an increase in storm rates to \$10.50 but staff were directed to hold off and reevaluate the increase to \$12.50 expected in January 2026.

The workshop ended at 6:00 p.m.

February 23, 2024, at 8:20 a.m.

Mr. Bunker welcomed everyone to the workshop.

TAXES AND UTILITY FEE UPDATE

Mr. Bunker went over the tax rates for the county, noting American Fork is 5th highest based on the annual taxes paid. With utilities, they looked at water, pressurized irrigation, sewer, sewer, storm, etc. Some cities do add in additional fees such as EMS, Street light fees, Road Fees, CUP and TSSD fees. When staff looked at the utility costs, they wanted to compare apples to apples, and noted that American Fork's utility rates are 5th from the bottom. When taxes and utilities are combined, they are 6th lowest in the County. Mr. Bunker noted that Lehi, Springville, and Spanish Fork have other utilities such as power companies that subsidize the general fund. There are some cities that don't provide the same services such as a library, senior center, or fitness center. It is important for residents to understand this when they look at the taxes and utilities fees they pay.

5-10-20 YEAR RESOURCE OUTLOOK

Mr. Bunker explained they took the census data and plugged in permit numbers, using 3.27 persons per household to estimate the population data and calculated future populations. In 2028, they expect to reach 55,000 residents. It is anticipated that Utah County will overtake Salt Lake County in population, and the planners in surrounding areas are expecting to hit their projections 15 years sooner than expected.

Mr. Bunker stated that population affects everything and went over the impact on communities. The next decade will be critical, when the city will see the biggest push in population growth. With the increased population, there will need to be more employees. Today, the city has 293

FTE for about 48,000 residents. The projections show they will need to increase to 323, then 360, and finally 468 in 20 years. With that, space is affected. Staff at Public Works are already in tight quarters. The Police Department has done well to manage what they have, but again, space is tight; soon, they should be able to expand to the 3rd floor which will help. Currently, there is no excess space to expand with the inevitable growth. The next 10 years will be a critical growth period for the city. The city will need another 110,000 square feet to house the employees, and the city needs in the future. One option would create precincts for the police, although that creates a different set of challenges.

Police

Chief Paul explained their biggest need is personnel. While there isn't a magic number of how many officers they need per 1000 residents, the average is 1.3 officers per 1000. If they use that number, it will place them at 76 officers right now; today, they have 54 officers. He felt their officers did a great job. They hope to maintain an additional couple of officers a year, although that would affect the budget with wages, benefits, cars, equipment, training, etc. In addition to officers, they need space. The department has re-configured every space in their building to fit as many people in as possible. Another need is evidence storage and having secure storage. There is no parking at the police department, with days when they must park north of the city administration office. The loss of parking at the Fire Department and on Church Street will create problems.

Chief Paul stated another challenge they will continue to face is wages. The competition has slowed down, but the city needs to remain competitive. Fleet costs are another challenge as is mental health services, technology, and gear. Mr. Bunker stated they have looked closely at staffing, and if wages aren't increased for an officer within 5 or 10 years, they can go other places for more money. The city does have a program for advancement for officers, with another option being the step increase plan.

Fire

Chief Brems stated that manpower is also critical for 911 calls and interfacility transports, with each station requiring 15 employees. They do have their new Station 52, but they do need to look at Station 53 within 1-3 years. Chief Brems stated that Station 53 would cover the entire south end of town. The process to design and build is about 3 years, and with Station 51 completely full they need to start now on Station 53. Another issue is parking at Station 51; it is always full, and if they add staff to that building, they will need all the parking they can get. Chief Brems pointed out that equipment costs have also skyrocketed, as well as the time it takes for the equipment to be built and delivered.

Public Works

Mr. Bunker explained that Public Works has the same growth pressures. They are working on a plan for a new facility as the current building is packed. They have purchased a few homes on the east of the current building and need to continue buying properties around the building. The

plan would be to move the evidence storage facilities and expand the public works yard. They do have a proposal on master planning the space and what the needs will be for the next 20 years. Similar to the fire department, public works equipment is also getting more expensive, and they have a bigger need for it.

Technology/Fiber

George Schade stated they have talked already about fiber; that will change what they do and the services they provide to the citizens. He noted the Network Operations Center is in the basement of the Police/Courts building, where they have to pump the sewer out. If those pumps go out, they could have sewage backup down there. They needed to protect the NOC and move it, ensuring that they take the trunk fiber wherever they go. As they continue to grow, they may want to bring the IT in-house, which would require additional employees. When new buildings are constructed, they need to be intentional with fiber location. Mr. Schade stated that cyber security is also important.

Finance

Ms. Montoya stated most of their needs are related to customer service and transparency. The utility billing and metering has grown to over 12,000 accounts. They want to be able to educate customers on the bills and usage, especially with the city going to monthly metering. The department needs a financial software upgrade. They would love to go to digital records which will take software/server/cloud capabilities.

Administration

Mr. Bunker stated that communication is one of the most critical things they can do for the citizens. They need to move toward full-time communications personnel. Human Resource is getting busier and busier with onboarding and training. With the increase in workload, additional admin personnel is also needed.

Community Services

Derric Rykert stated the challenge is to improve the quality of life for the residents. The residents on the south side want additional services, and they have some opportunities for parks and trails. For the cemetery, they should be able to provide burials for the next 45 years but only have about 9 years of lot sales left. There is the option of double deep burials in some of the locations, but it is not required. They have about 252 acres of park space in the city. They try to help with construction to keep costs lower. It was asked if they had considered using PARC Tax funds for employees, and it was noted they could use PARC Tax funds for operating expenses if they chose.

With the Fitness Center, they have maximized the facilities and tried to keep up with current trends. The facility is getting older, and he would love to look to the future for that space. They need to look at ways to utilize the land for cemetery and fitness center. One option was to build a second location for a fitness center, but that would create its own challenges with overhead and employees.

Development Services

Mr. O'Brien stated that with all the changes over the last couple of years, they are shifting to promote economic development and encouraging that aspect of development in the TOD. They also want more commercial in other key areas and are looking at long-ranging planning for the city with updating the general plans. The main challenges are coming with the large-scale developments; it is challenging for staff and for the aging infrastructure. They are continuing to work on customer service and helping people through the process. Mr. O'Brien stated the Building Division are hitting 100% of their inspections on time, but they do have people scheduling inspections weeks in advance that end up cancelling it the day before. If they cancel within 12 hours, there is no charge. However, if they cancel the morning of there would be a fee.

Debit Capacity

Mr. Bunker explained that with all the capital needs of the city, the city will likely need to bond for some of the projects. Ms. Montoya stated that the state code dictates what they can bond for, and she went over the debt capacity of the city. The amounts the city can bond up to are: \$166 million for GO (General Purpose) Bonds, \$318 Million for GO (Utility) bonds, \$16 million for Water Revenue bonds, and \$59 million for Sales Tax Revenue bonds. The point was not that they should go out and bond, but that the city has the capacity to do so. A couple of scenarios of the impact on the taxpayers based on current interest rates and property values were pointed out.

*There was a 30-minute break.

FYE 2025 BUDGET OUTLOOK

Ms. Montoya went over the historical trends. With the General Fund history, a chart was provided showing the revenues and expenditures. The city did have a balanced budget and was able to increase the fund balance reserve to the maximum 35% allowed. When they start the budget process, they are very conservative on the revenues received. She noted the general fund revenues by type, and noted they review the fee schedule annually and take recommendations to the council each year. In 2022, there was a spike in permitting revenue, but that has come down slightly.

Ms. Montoya then went over the general fund expenditures by type, pointing out that personnel costs were the largest expenditure type. With low unemployment, there was pressure to retain employees and stay competitive. As they increase personnel, operating costs increase. With the department budgets, the public safety departments have increase more compared to the other departments.

With the Fitness Center budget, Ms. Montoya pointed out that capital projects were 100% subsidized by the general fund. The overall revenues and expenditures decreased in 2020 due to COVID. She pointed out that the expenditures were outpacing the revenues.

With the budget methodology, they are required to have a balanced budget. They have conservative estimates and with a zero-based budget they start from scratch every year prioritizing the strategic goals. She went over the budgeting factors, which include looking at the historical trends, inflation and supply, legislation, low unemployment rates, level of service, master plans and impact fees, property tax rates, and utility rates. With the property tax, they need to decide if they want to certify, peg, or increase the rate; the citizens have expressed their desire to have small, regular incremental increases rather than larger increases spaced out. Ms. Montoya stated they go through all the budget requests and look at prioritizing needs, having discussions at the workshop, and then taking the proposal to the council in budget work sessions.

Mr. Bunker stated that budgeting can be difficult and tough decisions must be made. He stated that Ms. Montoya does a great job. They look at the economy, trends, and do a lot of legwork to see what the anticipated revenues would be, then they look at the council's prioritizing of goals to determine the budget priorities. They talk to the city's consultants and look at economists to get as much data as possible.

Mayor Frost asked about health care and what the expected increase was. Ms. Montoya stated the city was generous with health care, but they expected to see an increase as in the last several years. Mr. Bunker commented that since they have encouraged employers to go toward a High Deductible plan, it has helped with health care expenses and it was no longer in double digit increases.

FY 2025 CAPITAL PROJECTS OUTLOOK

Mr. Bunker explained there are several ways to fund large projects, some of which were impact fees and the capital project funds. When it comes time for the last couple of months of the budget year, departments are told to start watching what they are expending funds on so they do not overspend. The directors have been great at monitoring their budgets, and it has left a little bit extra in reserves that have been able to put into capital projects.

Mr. Bunker commented that there were a few facilities needed on the horizon such as fiber, Fitness Center, Station 53, and Public works complex. Those were the most glaring public improvement projects they needed. Another would be downtown, such as property acquisition in the downtown area, and the Network Operation Center relocation.

5-Year Improvement Plans

- Community Services. They needed to look at cemetery expansion, parks maintenance and expansion with several key parcels on the south side of town, ongoing playground replacement, and bubble replacement. One consideration was a location on the south side of town for equipment.
- Public Safety. They need an evident building, 3rd floor tentative improvements, and Fire Station 53 planning. The Fire Station 53 would be a GO bond, which would have a better interest rate and would need to go on the ballot. A lot of hours and volunteers were used to help the Fire Station 52 bond pass, and they needed to start on a plan for that.

- Road Restoration. They need to continue the push for road restoration and preservation, which includes infrastructure improvements including water and sewer. They need to look at it holistically, improving underground infrastructure as part of the plan. They will look at the plan and make revisions as necessary.
- Infrastructure. They do their best with the anticipated amounts, but sometimes those will change depending on when they complete the projects. There was a discussion on project costs and where they saw the costs going in the future.

Ms. Montoya explained there were about \$200 million in various budget requests, so they need to be very strategic with their budget planning.

GENERAL FUND REVENUE WORK PLAN

This discussion was to see how they wanted to approach the next budget year and to get the pulse of what the council. Ms. Montoya went over the property tax vs fees. If they need to fill a gap, they need to look at increasing the property tax which would require a public hearing. A GO Bond debt service would require the vote of the citizens. She noted that fees are shown on the bills; if they want to go forward with a road fee there would need to be a study. There are a couple of pending legislation that could affect the budget. One legislation being, that any modification of a certified tax rate would have to go on the ballot. Another bill would prohibit public safety and broadband fees but authorizes transportation utility fee with supporting study. One advantage to a utility fee is that everyone would pay the utility fee, where non-profits do not pay property taxes.

Ms. Montoya went over a couple of scenarios with the certified tax rate and possible increases. With the property taxes, the city has three tax line items: General, GO Debt, and Tort. It was noted that the majority of the property tax goes to the school district. Ms. Montoya pointed out that small incremental property tax rate increases would be helpful. There was a discussion on property taxes and what would be the best way to move forward in the fairest way. It was noted that the city reevaluates utilities fees every few years.

Ms. Montoya showed what they have in restricted revenues for transportation funding. If the city chose to add a transportation utility fee, they would need to do a study to see what was fair and allowed. If they were to add a \$5 monthly fee, they could bring in approximately \$700,000. They need to figure out what the annual deficit is to maintain and improve the current road conditions.

Mr. Bunker asked the question: what doesn't cost a lot of money? It is the Customer service we provide to the residents. He gave an example of his hairdresser who was pulled over after she had just broken up with her boyfriend. She said the police officer was very understanding and helpful, and that went a long way with her. Good customer service goes a long way, and when we give great customer service, the citizens are willing to work more with the city. Mr. Bunker stated that leadership is very important, as an employee emulates the way their director acts.

*Lunch was from 11:45 a.m. to 12:20 p.m.

FY 2025 STRATEGIC GOALS WORKPLAN

Mr. Bunker stated they need to come up with strategic goals, not just a long to-do list. These would be high level goals, where they would then establish some milestones. Some of these goals could take years, like Art Dye or 200 South. He suggested they look over the FY 2024 goals to see what can be eliminated or what they needed to continue working on. The goals discussed were as follows:

- Fiber. They are finishing up the mid-level design and then moving to neighborhood by neighborhood. Once they get that, they are ready for installation. The next step is to get funding, where they may have extra steps that need to be taken in order to move forward with bonding. There was a short discussion on whether the citizens were in favor or against bonding, but if they understood the need they were typically in favor. However, those who were against it can spread misinformation. When the council makes a decision on bonding, there is a possibility of a referendum and depending on when that takes place, it may be on this ballot or the next. They will need to be strategic and find those citizens in favor of fiber who would be willing to work with the city and help fix the misinformation that has been out. The council will also need to have a rate structure. It was noted that the city would need to be close to 40% take rate for the costs to be covered. If there was a referendum, the city would like to get that on this ballot.
- Fire Station 53. They need to begin the design and financing needs so that when the city prepares for a GO Bond in a few years that they are ready. They would need to come up with a strategy for bonding.
- Downtown Revitalization.
- General Plan Update.
- City Facilities Master Plan. They will need to look at the growth model, what the city needs in 20 years, and how to be strategic.
- Fitness Center. They need to begin the design of a fitness center.
- Public Works Facility.
- Water Re-Use.

Council Member Taylor brought up customer service, suggesting they possibly create an initiative or mantra on how they will service our customers. This would not take a lot of money.

Council Member Carroll wanted to have a discussion on road utility fees verses property tax increases, although she did not know the best time to talk about that.

Mayor Frost brought up parking in the TOD area. He has had two interactions this week dealing with the parking in the area. The trend for the TOD is to rent out rooms, which could potentially have four or five cars per townhome. This could destroy neighborhoods. It was noted parking in this area was a topic that would need to be discussed at a future work session, as was looking at the road system. One idea was to create a service district specifically for parking. The intent of a Transit Oriented Development (TOD) area was that there would be multi-modal transportation

options. At this time, there was no bus system in place, nor were people using transit like they anticipated. While things could change over time, they needed to address the issue now. A service district could be used to pay for parking for the area, whether it be a parking structure or small pockets of parking throughout the area.

Mr. Bunker stated they will have all kinds of issues throughout time that they will have to tackle. He appreciated their willingness to tackle these issues and making American Fork better.

The workshop ended at 1:25 p.m.



Terilyn Lurker, City Recorder